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Case Number: 25VECV01272 Hearing Date: September 22, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

UPGRADE INC.,

Plaintiff,

vs.

ANTWAN SMALLS, and DOES 1 through 5,
inclusive.

Defendant.

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CASE NO.: 25VECV01272

ORDER

GRANTING PLAINTIFF'S AND CROSS-DEFENDANT'S MOTION FOR JUDGMENT ON THE
PLEADINGS WITHOUT LEAVE TO AMEND AND MOTION TO DISMISS

ANTWAN SMALLS,

Cross-Complainant,

vs.

UPGRADE INC.,

Cross-Defendant.

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I.

BACKGROUND

This action arises out of a loan on which Plaintiff Upgrade Inc. ("Upgrade") alleged Defendant and Cross-Complainant Antwan Smalls ("Smalls") defaulted, resulting in him owing the principal sum of \$64,301.66.

In the Cross- Complaint, Smalls alleged Upgrade provided a home improvement loan to Smalls based on fraudulent representations, resulting in substandard work. The Court recently sustained Upgrade's demurrer to all causes of action with leave to amend.

Upgrade now moves for judgment on the pleadings on the Complaint and moves to dismiss the Cross-Complaint.

II.

PROCEDURAL HISTORY

On March 6, 2025, Upgrade filed the Complaint alleging (1) Breach of Written Contract.

On April 4, 2025, Smalls filed an Answer and Cross-Complaint.

On August 4, 2025, the Court sustained Upgrade's Demurrer in its entirety with leave to amend and denied Upgrade's Motion to Strike.

On August 8,

2025, Smalls filed a First Amended Cross-Complaint ("FAXC") alleging: (1) Fraud; (2) Negligence; (3) Violation of Business and Professions Code § 17200[1]; (4) Predatory Lending; and (5) Breach of Implied Covenant.

On November 18, 2025, the Court granted Upgrade's Motion to Quash Service.

On January 20, 2026, the Court denied Upgrade's Motion to Dismiss Smalls's Cross-Complaint.

On June 22, 2026, the Court sustained Upgrade's Demurrer to the Cross-Complaint with leave to file a second amended cross-complaint on or before July 6, 2026.

On July 6, 2026, corrected nunc pro tunc on July 7, 2026, the Court granted Plaintiff's Motion to Deem Requests for Admissions Admitted as to Smalls. The Court also granted Upgrade's request for discovery sanctions in the amount of \$435.00.

On July 30, 2026, Upgrade filed the instant Motion to Dismiss.

On August 13, 2026, Upgrade filed the instant Motion for Judgment on the Pleadings.

As of September 18, 2026, no oppositions have been filed to either.

III.

LEGAL STANDARD

A.

Judgment on the Pleadings

A plaintiff

may move for judgment on the pleadings on grounds "the complaint states facts sufficient to constitute a cause or causes of action against the defendant and the answer does not state facts sufficient to constitute a defense to the complaint." (Code Civ. Proc. § 438(c)(1)(A).) The

standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer: that under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (See *Schabarum v. California Legislature* (1998) 60 Cal.App.4th 1205, 1216.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court a pleading can be amended successfully. (See *id.*) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245.)

B.

Motion to Dismiss

The court may dismiss the complaint as to a defendant when “after a demurrer to the complaint is sustained with leave to amend, the plaintiff fails to amend it within the time allowed by the court and either party moves for dismissal.” (Code Civ. Proc. § 581(f)(2).)

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IV.

JUDICIAL NOTICE

The Court grants Upgrade's request for judicial notice of (1) Upgrade's Requests for Admission (“RFAs”) propounded on Defendant (filed in the supporting declaration to the Motion to Deem Admitted) and (2) this Court's July 6, 2026, Order granting Upgrade's Motion to Deem RFAs Admitted pursuant to Evidence Code § 452(d).

V.

MEET AND CONFER

Before filing a motion for judgment on the pleadings pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by video

conference. (See Code Civ. Proc. § 439(a).)

Upgrade's

counsel attests she made numerous phone calls and sent meet and confer letters to Smalls but has received no response. (See Declaration of Laura D'Anna filed August 13, 2026, ¶¶ 4-5.) Thus, the Court finds Upgrade satisfied its meet and confer obligation.

VI.

ANALYSIS

A.

Upgrade's Motion for Judgment on the Pleadings is Granted.

Upgrade moves

for judgment on the pleadings on the grounds that the deemed admissions admit all elements of the Complaint's single cause of action for breach of contract. Accordingly, Upgrade states it is entitled to a total judgment of \$66,125.87, comprising \$64,301.66 in principal plus \$435.00 in sanctions and \$1,389.21 in costs.

As Upgrade

moves for judgment on the pleadings, the Court first addresses whether the Complaint states sufficient facts to constitute a breach of contract cause of action. (See Code Civ. Proc. § 438.) A cause of action for breach of contract must plead "(1) the contract, (2) plaintiff's performance or excuse for non-performance, (3) defendant's breach, and (4) damage to plaintiff therefrom." (*Acoustics, Inc. v. Trepte Constr. Co.* (1971) 14 Cal.App.3d 887, 913.) If the action is based on an alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 229, 307.)

Here, the

Complaint alleges Smalls entered into a Borrower Agreement, with the loan to "be administered and serviced by Upgrade, Inc.'s national online consumer loan marketplace platform." (Compl., ¶¶ 1, 4-, 6, Ex. A.) The Complaint alleges the Borrower Agreement was assigned to Upgrade who is now the current holder of the

Loan. (See *id.*, ¶ 10.) The Complaint alleges “[Upgrade], its predecessor in interest, and Upgrade, Inc. have performed all conditions, covenants and promises required of them under the Loan Document” and Smalls has “defaulted on their obligations to [Upgrade] under the Loan Documents...despite demand...

There is now

due, owing and unpaid to Plaintiff the principal sum of \$64,301.66.” (*Id.*, ¶¶ 21-23.) The Court finds the Complaint states a claim for breach of contract.

Next, the Court addresses whether the Answer states sufficient facts to constitute a defense to the Complaint. (See Code Civ. Proc. § 438.)

Smalls’

Answer asserts the general denial, “Pursuant to the provisions of Section 431.30(d) of the California Code of Civil Procedure, Defendant generally denies each and every allegation contained in Plaintiff’s Complaint, and further denies that Plaintiff has sustained damages in the sums alleged, or in any other sum, or at all.” (Answer at 2.) The Answer asserts four affirmative defenses for fraud in the inducement attributed to the contractor, failure of consideration due to contractor performance, unconscionability, and breach of the implied covenant of good faith and fair dealing. (See *id.*)

Upgrade

argues Smalls’ admissions in the noticed RFAs, Set One, warrant judgment against him. The Court has taken judicial notice that the truth of the matters in Upgrade’s RFAs (Set One) served on Smalls were deemed admitted against him. (See RJN, Exs. A-B; Code Civ. Proc. § 2033.280(b).) The RFAs were previously filed in this action in support of Upgrade’s Motion to Deem Admitted and the Court ordered the RFA’s admitted on July 6, 2026. (See *id.*) These documents are already properly part of the record before the Court. They may therefore serve as a basis for this Court’s ruling on a motion for judgment on the pleadings.

There is

authority providing that in ruling on a motion for judgment on the pleadings, a court may consider matters that may be judicially noticed, including a party’s admissions or concessions which cannot be reasonably controverted.

In *Pang v. Beverly Hospital, Inc.* (2000) 79 Cal.App.4th 986, the Court of Appeal affirmed the trial court’s treatment of a motion for summary adjudication as a motion for judgment on the pleadings, and the granting of that motion based on the sworn evidence presented by plaintiff in connection

with the motion, noting that on a motion for judgment on the pleadings: “In addition to the facts pleaded, we may consider matters that may be judicially noticed, including a party’s admissions or concessions which cannot reasonably be controverted. (Evans v. California Trailer Court, Inc. (1994) 28 Cal. App. 4th 540, 548-549 [33 Cal. Rptr. 2d 646].)” (Pang, 79 Cal.App.4th at 989-990; see also Tucker v. Pacific Bell Mobile Services (2012) 208 Cal.App.4th 201, 218, fn. 11 [a court may take judicial notice of a party’s admissions in cases where the admission cannot reasonably be controverted, such as requests for admission].)

Pursuant to

this Court’s July 6, 2026, Order, which is judicially noticed, Smalls admitted: (1) As a member of the Upgrade platform, he electronically signed its “Terms of Use” thereby agreeing and consenting to do business with Upgrade online electronically; (2) On or about December 27, 2023, upon completion of the loan application process online, he posted a home improvement loan request to the Upgrade platform; (3) he is the Borrower as addressed in the Borrower Agreement; (4) he promised to pay the principal amount together with interest and any additional fees or charges incurred under the Borrower Agreement; (5) Upgrade disbursed one or more separate advances to the contractor to his your home improvement project; (6) the Initial Advance occurred; (7) he approved Substantial Completion causing the Final Advance to be disbursed to the contractor; (8) the Final Advance occurred; (9) he received the Transition Notice and Final Payment Schedule; (10) he did not dispute any Advance within 60 calendar days from the date the Advance request was made; (11) he received a copy of the Truth in Lending Act Disclosure; (12) Upgrade is the owner of the subject loan; (13) All payments submitted to Upgrade have been credited to the subject loan balance; (14) he is in default on the subject loan in that he has failed to pay Upgrade pursuant to the terms of the Loan Agreement; and (15) Upgrade has performed all conditions required of it under the-Loan Agreement.

The Court

finds the Answer does not state facts sufficient to constitute a defense to the Complaint. The RFAs undermine Smalls’ general denial of every allegation in the Complaint and third affirmative defense, as the RFAs establish Smalls voluntarily requested a loan through Upgrade, he voluntarily entered into to an agreement with Upgrade for provision of a loan, Upgrade performed all conditions under the parties’ agreement, and Smalls is in default of the agreement.

Additionally,
the first, second, and fourth affirmative defenses are insufficiently stated. To sufficiently allege an affirmative defense in an Answer, the same pleading of “ultimate facts” rather than evidentiary matter or legal conclusions is required as when pleading the Complaint. (See *FPI Development, Inc. v. Nakashimi* (1991) 231 Cal.App.3d 367, 384.) In other words, the Answer must “aver facts as carefully and with as much detail as the facts which constitute the cause of action and which are alleged in the complaint.” (Id.) Here, the first affirmative defense for fraud in the inducement is based on a third party’s misrepresentations. This affirmative defense lacks specificity and fails to state ultimate facts establishing that Upgrade would be liable for this party’s alleged misrepresentations under its loan agreement with Smalls. The second affirmative defense for failure of consideration based on insufficiently performed services by a third party suffers from the same defect; it lacks ultimate facts establishing how the terms of the agreement would be voided based on the third party’s performance. The fourth affirmative defense for breach of implied covenant of good faith and fair dealing also fails to allege ultimate facts establishing Upgrade’s duty to ensure quality control over the third party. Accordingly, these affirmative defenses are unclear as to how they would be applicable to Upgrade’s Complaint and thus they fail to sufficiently allege an affirmative defense against the Complaint.

Thus, all elements of a breach of contract have been established based on the judicially noticed documents, and no defenses articulated in the answer can be advanced at this juncture as a matter of law given the RFAs deemed as admitted.

Accordingly,
the Court GRANTS the Motion for Judgment on the Pleadings without leave to amend, and awards plaintiff damages of \$64,301.66.

B.
Upgrade’s Motion to Dismiss is Granted.

Upgrade also moves
to dismiss Smalls’ First Amended Cross-Complaint on grounds that Smalls did not amend his pleading after the Court sustained Upgrade’s demurrer to the FAXC in

its entirety and gave him leave to amend until July 6, 2026. (See Mot. at 2:20-25.)

On June 22, 2026, the Court sustained Upgrade's demurrer to all causes of action in the FAXC with leave to amend. (See June 22, 2026, Order.) Smalls failed to file an amended pleading and the time to amend has expired. Thus, the Court GRANTS Upgrade's Motion to Dismiss. The First Amended Cross-Complaint is accordingly dismissed with prejudice. (See *Cano v. Glover* (2006) 143 Cal.App.4th 326, 329-330 ["Section 581, subdivision (f)(2) '... gives the defendant the right to obtain a court order dismissing the action with prejudice...'"].)

VII.

CONCLUSION

Based on the foregoing, the Court GRANTS the Motion for Judgment on the Pleadings WITHOUT LEAVE TO AMEND, and awards Upgrade damages of \$64,301.66. In addition, the Court GRANTS Upgrade's Motion to Dismiss. Accordingly, the Court dismisses the First Amended Cross-Complaint with prejudice.

IT

IS SO ORDERED.

DATED: September 22, 2026

Hon. Michael R. Amerian

Judge,
Superior Court

[1] All statutory references
are to California codes unless stated otherwise.